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MORNING INSIGHTS

Index Performance

	Last close	% 1D	% YTD
HSI	27,082	2.5	5.7
HSCEI	9,197	2.7	3.2
HSCCI	4,467	1.9	11.2
MSCI HK	15,066	(0.2)	10.1
MSCI CHINA	85	2.3	2.1
FTSE CHINA A50	14,745	(1.3)	(3.7)
CSI 300	4,660	(1.3)	0.7
TWSE	33,773	0.5	16.6
SENSEX	82,815	0.4	(2.8)
NIKKEI 225	56,826	(1.1)	12.9
KOSPI	5,846	0.6	38.7
ASX 200	9,004	0.3	3.8
DJIA	48,804	(1.7)	1.5
S&P 500	6,838	(1.0)	(0.1)
FTSE 100	10,685	(0.0)	7.6

** US data as of 23 Feb 2026*

Commodity Price Performance

	Last close	% 1D	%YTD
Brent Crude (US$/bbl)	71	(0.4)	18.2
Gold (US$/oz)	5,227	2.3	21.0
Copper (US$/t)	12,964	1.2	4.4
Aluminum (US$/t)	3,079	1.3	3.7
Nickel (US$/t)	17,144	0.4	3.9
CH domestic steel rebar 25 (RMB/t)	3,219	(0.1)	(0.7)
CH domestic high speed wire (RMB/t)	3,639	0.0	(1.4)
CH domestic hot rolled steel (RMB/t)	3,255	0.0	(0.5)
CH domestic cold rolled steel (RMB/t)	3,744	(0.0)	(1.6)
BDI (index)	2,019	0.0	7.6

** US data as of 23 Feb 2026*

Key Macro and Earnings Releases

		Con-sensus	Last actual
PPI Final Demand YoY (US)	27/2	2.6	3.0
Retail Sales Advance MoM (US)	2/3	--	0.0
S&P Global US Manufacturing PMI (US)	2/3	--	51.2
RatingDog China PMI Mfg (CH)	2/3	--	50.3
ISM Manufacturing (US)	2/3	51.8	52.6
RatingDog China PMI Services (CH)	4/3	--	52.3
ISM Services Index (US)	4/3	53.9	53.8
S&P Global US Services PMI (US)	4/3	--	52.3
ADP Employment Change (US)	4/3	43.0	22.0
Manufacturing PMI (CH)	4/3	--	49.3
Non-manufacturing PMI (CH)	4/3	--	49.4

Key BOCI Events

Corp Access			Date
Xinyi Energy (1x, Group Lunch)	3868.HK	HK	2 Mar
MMG (1x1)	1208.HK	HK	5 Mar
BOC Aviation (1x1)	2588.HK	HK	23 Mar
CIMC Enric (Group Call at 2pm)	3899.HK		25 Mar

Please register with your BOCI sales rep.

NetEase Cloud Music – BUY

(9899 HK/HK$156.60; TP: HK$200.00↓)

Raphael Chen, CFA/Dolores Tang *Target Price Change | TMT*

(i) 2H25 1% YoY topline missed consensus by 1%, driven by 8% YoY online music (facilitated by +12% YoY core music subs revenue) being offset by -17% YoY social entertainment. 23.2% adj. NPM met streets' expectation.

(ii) We deem Co. is committed to executing their core music content, product and monetisation strategies for their differentiated young generation music lovers empowered by accelerated AI adoptions especially on content and algorithm.

(iii) Despite intensified domestic music competition, we remain optimistic on Co. to progressively extract long-term value of their differentiated engaged young music enthusiasts. Maintain ***BUY*** with new TP of HK$200.0.

网易云音乐 – 2H25 业绩大致符合预期；坚定执行的核心音乐策略 (买入) *9899.HK

陈逸群/唐雨欣

(i) 2H25 总收入同比微增 1%，略低于市场预期 1%。其中在线音乐收入同比增长 8%，由同比增长 12%的核心音乐会员收入贡献，社交娱乐业务收入同比下降 17%。23.2%的经调整净利润率符合市场预期。

(ii) 我们认为公司将会基于其差异化的年轻音乐热爱者持续坚定执行其核心音乐内容，产品功能及商业化策略，同时在核心生态内尤其是内容及算法上加速应用 AI 技术。

(iii) 尽管国内音乐市场由于汽水音乐的进入而竞争加剧，我们目前仍对公司在中长期逐渐挖掘其核心强粘性的年轻音乐用户的进程表示乐观。维持***买入***评级，新目标价为 200.0 港元。

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(v) have not received compensation or a mandate for investment banking services rendered from the issuer(s) reviewed within the preceding 12 months, or;

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OVERWEIGHT : Sector expected to outperform the market benchmark over the next twelve months
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